3. Is the company in a field that is not dangerously overcrowded, and is it in a good competitive position?
4. Are company policies and operations farsighted and aggressive without calling for unjustified and dangerous overexpansion?
5. Will the corporate balance sheet stand up under the close scrutiny of a critical and impartial auditor?
6. Does the corporation have a satisfactory earnings record?
7. Have reasonable dividends been paid regularly to stockholders? If dividend payments were missed, were there good and sufficient reasons?
8. Is the company well within safe limits insofar as both long- and short-term borrowing are concerned?
9. Has the price of the stock moved up and down over the past few years without violently wide and apparently inexplicable fluctuations?
10. Does the per-share value of the company's net realizable assets exceed the stock exchange value of a common stock share at the time the investor contemplates buying?

Many stock buyers have failed to ask these questions. In some cases, they bought the stocks of companies that had not shown a profit for some time. But the issues would "get hot," as speculators are wont to say, and multiply several times over their issue price within a matter of weeks or even days. Then, someone would realize that the heat was being generated solely by irrational buying—and the prices would plummet.

I repeat that I personally believe that selected—and I want again to emphasize the word *selected*—common stocks are excellent investments. There are innumerable fine buys on the market today. Among them are many stocks issued by companies with net realizable assets two, three, four and